6. When money is withdrawn from bank, the bank
   (a) Credits customer's account (b) Debits customer's account
   (c) Debits and credits customer's account (d) None of these

7. Which of the following is not the salient feature of bank reconciliation statement?
   a) Any undue delay in the clearance of cheques will be shown up by the reconciliation
   b) Reconciliation statement will discourage the accountant of the bank from embezzlement
   c) It helps in finding the actual position of the bank balance
   d) Reconciliation statement is prepared only at the end of the accounting period

8. Balance as per cash book is ₹ 2, 000. Bank charge of ₹ 50 debited by the bank is not yet shown in the cash book. What is the bank statement balance now?
   (a) ₹ 1,950 credit balance (b) ₹ 1,950 debit balance
   (c) ₹ 2,050 debit balance (d) ₹ 2,050 credit balance

9. Balance as per bank statement is ₹ 1, 000. Cheque deposited, but not yet credited by the bank is ₹ 2, 000. What is the balance as per bank column of the cash book?
   (a) ₹ 3,000 overdraft (b) ₹ 3,000 favourable
   (c) ₹ 1,000 overdraft (d) ₹ 1,000 favourable

10. Which one of the following is not a timing difference?
   (a) Cheque deposited but not yet credited
   (b) Cheque issued but not yet presented for payment
   (c) Amount directly paid into the bank
   (d) Wrong debit in the cash book

**Answer**

| 1. (b) | 2. (c) | 3. (a) | 4. (c) | 5. (c) | 6. (b) | 7. (d) | 8. (a) | 9. (b) | 10. (d) |
|---|---|---|---|---|---|---|---|---|---|

## II Very short answer questions

1. What is meant by bank overdraft?

2. What is bank reconciliation statement?

3. State any two causes of disagreement between the balance as per bank column of cash book and bank statement.

4. Give any two expenses which may be paid by the banker as per standing instruction.

5. Substitute the following statements with one word/phrase

   (a) A copy of customer's account issued by the bank

   (b) Debit balance as per bank statement

   (c) Statement showing the causes of disagreement between the balance as per cash book and balance as per bank statement



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